

Arsenal Capital Partners' Pinnacle Refinancing Decision

CREATING VALUE THROUGH FINANCE-MBA-808

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I. Executive Summary

Pinnacle, under the ownership of Arsenal Capital Partners, transformed from a niche adhesives company into a rapidly growing platform. With EBITDA increasing from \$13.5 million in 2018 to \$60 million by 2021 through strategic acquisitions, Pinnacle reached a stage where continued growth required a substantial capital infusion. The company's existing debt package, negotiated in 2018, was becoming restrictive: it had a high cost of capital (~7% all-in), restrictive covenants, and limited capacity for future acquisitions or international expansion.

As of mid-2021, Pinnacle had multiple acquisitions in its pipeline, two of which were undersigned letters of intent. Arsenal needed to act promptly to secure financing that could fund these deals and support further inorganic growth. Simultaneously, Pinnacle had begun receiving interest from potential acquirers, so the new financing had to align with a flexible and exit-ready capital structure.

II. Overview of the Four Refinancing Option

Option	Rate	Structure	Covenants	Flexibility	Maturity
Option 1	7.0%	Direct Lending (2 lenders)	Maintenance	U.S.-only, Limited	2023

Option 2	6.25%	Club Deal (5 lenders)	Maintenance	\$200–300M, Moderate	2026
Option 3	4.5%	Syndicated Loan (Term Loan B + Revolver)	Covenant-lite	Accordion + Global M&A, High	2028
Option 4	5.8–6.0%	Syndicated + Second Lien (1L + 2L)	Covenant-lite	\$120M Dividend + Expansion, costly exit	2028

III. Interest Cost Comparison

Estimated annual interest cost based on expected principal and market spreads:

Option	Debt Size	Rate	Annual Interest (\$M)
Expand Existing	\$276M	7.0%	\$19.3M
Club Deal	\$300M	6.25%	\$18.8M
Syndicated Loan	\$300M	4.5%	\$13.5M
Dividend Recap	\$420M	Blended ~5.8%	\$24.3M

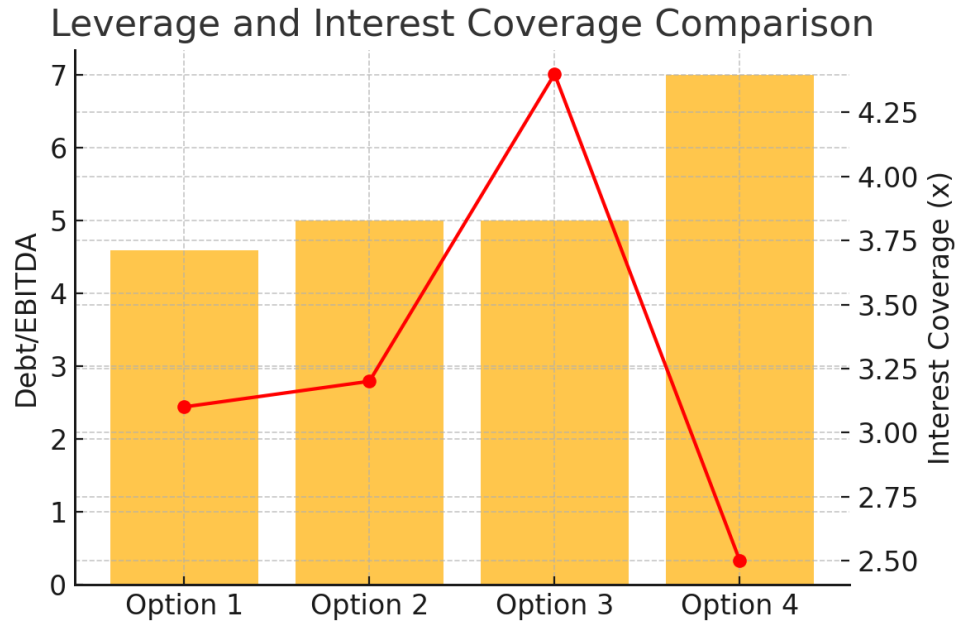
Option 3 Syndicated Loan provides the lowest interest burden despite using more capital, due to its syndicated structure and lower spread.

IV. Pro Forma Leverage and Coverage

Leverage metrics assuming \$60M EBITDA after refinancing:

Option	Debt/EBITDA	EBITDA	Interest Coverage
Expand Existing	4.6×	\$60M	3.1×
Club Deal	5.0×	\$60M	3.2×
Syndicated Loan	5.0×	\$60M	4.4×
Dividend Recap	7.0×	\$60M	2.5×

This graph compares each option's leverage ratio (Debt/EBITDA) and interest coverage (EBITDA/Interest):



V. Strategic Analysis and Recommendation

Among the four options, Option 3—the syndicated first-lien Term Loan B—emerges as the optimal choice for several reasons:

- It provides the lowest cost of debt (4.5%), resulting in annual interest savings of up to \$6M compared to the alternatives.
- The covenant-lite structure provides operational freedom and minimizes refinancing risk due to the absence of maintenance covenants.
- The 7-year maturity aligns well with Arsenal's investment timeline and prospective exit window.

- The accordion feature and international acquisition capacity support future expansion without requiring debt renegotiation.
- The broad syndication base enhances Pinnacle's visibility and prepares the company for a cleaner exit.

While Option 4 allows early cash extraction, it compromises Pinnacle's financial flexibility. Options 1 and 2 offer moderate improvements over the status quo but do not structurally align with Pinnacle's evolving scale and growth ambitions. Therefore, Option 3 is recommended as the refinancing strategy that creates the most long-term value while minimizing downside risk.